

Indian imports of major weapons rose by 111 per cent between 2004 and 2008 and again between 2009 and 2013, and its share of the volume of international arms imports increased from seven per cent to 14 per cent. Major suppliers of arms to India in 2009-13 were Russia (accounting for 75 per cent of imports) and the USA (seven per cent).

Large-scale modernisation of defence forces is on the anvil. The next decade is likely to see an exponential growth in combat systems as well as non-platform based SE programmes, with requirement for the 12th Plan (2012-2017) being pegged at over one trillion rupees. These would include:

1. Tactical communication systems
2. Battlefield management systems
3. Network-centric warfare systems
4. Future infantry soldier as systems
5. Tank electronics
6. Air defence systems
7. Avionics, navigation equipment, radar and sonar
8. Night-vision devices
9. Host of associated and embedded electronics

The 'Report of Working Group on Defence Equipment' estimates the requirement of defence electronics to be of the size of ₹ 257 billion. This amounts to about 25 per cent of the capital expenditure projections of the working group by 2016-17. Thus, looking from the offset perspective, opportunity for Indian electronics manufacturing is huge.

SE is a niche segment characterised by high-cost and sophisticated technologies. A solid base of research and development (R&D) is required in order to remain at the forefront. Department of Electronics & Information Technology (DeitY) holds essential expertise complemented by a sturdy infrastructure to undertake R&D activities in this pivotal sector. The key thrust area

Favourable government policies

- The government has launched the Make in India initiative to promote manufacturing in the country. According to competitive assessment, 25 thrust sectors including manufacturing, relevant infrastructure and service sectors have been identified, spanning a number of administrative ministries and departments.
- Defence acquisition proposals worth more than ₹ 650 billion have been categorised under Buy (Indian) and Buy and Make (Indian).
- Various policy initiatives to promote and encourage entry into defence manufacturing have been put in place such as:
 - Cap on FDI in the defence sector increased to 49 per cent via approval route
 - To improve access to state-of-the-art technology, this cap can be increased even further with Cabinet Committee on Security (CCS) approval
 - Requirement of single largest Indian ownership of 51 per cent of equity has been removed. This has been a long standing demand from the domestic industry
 - Portfolio investments are now permitted up to 24 per cent in automatic route
 - Liberalisation of industrial licensing policy by taking out all component parts, raw materials, testing equipment, etc
- Companies planning to manufacture dual-use items no longer require industrial licences and will also not be subjected to FDI ceiling of 49 per cent.
- Initiatives for R&D investment through technology development fund and tax incentives have been initiated.
- Policies for the MSME sector have been enabled.



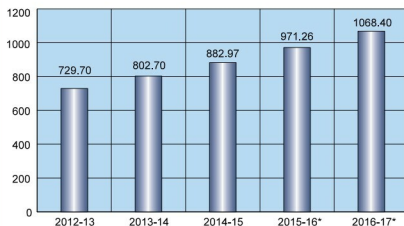
Today, Ministry of Defence (MoD) aims to create conditions conducive for domestic manufacturers, both public and private, so that they can play an active role in the SE domain. We are aiming at expediting decision making, as well as simplifying contractual and financial provisions to establish a level playing field for Indian companies to compete with foreign firms."

— Rao Inderjit Singh, hon'ble minister of state for planning (independent charge) and minister of state, Ministry of Defence



Projected Defence Capital Expenditure

(₹ billion)



*Projections

Source: Indian Thirteenth Finance Commission Report, December 2009